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R&D TIP

Core vs supporting R&D activities

5 points on how the R&D Tax Incentive splits them

Swipe →

01

Core activities are experimental

Core R&D activities are experimental, with an outcome that cannot be known or determined in advance. They are done to generate new knowledge.

02

Core work follows a method

The work follows a systematic progression of hypothesis, experiment, observation, evaluation and conclusions.

03

Supporting activities link to core

Supporting activities must be directly related to a core R&D activity. Being related is the starting point, not the whole test.

04

Some need a dominant purpose

For some supporting activities, the dominant purpose must be to support the core R&D. Being useful or necessary to it is not enough on its own.

05

Known outcomes are not core

Work with a known outcome is not core. Market research, market testing and sales promotion are excluded activities. Keep separate records for core and supporting work.

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Pass it on

Share it with a founder doing experimental work.